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TM Pick n Pay Marketplace & Last-Mile Delivery Infrastructure Business Proposal

Evolving Click & Collect into an Open Agnostic Marketplace & Click-to-Door Delivery Ecosystem

TO: Board & Executive Committee, TM Pick n Pay

DATE: September 2026

FROM: Lead Enterprise Architecture Consortium

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SUBJECT: Commercial Business Case for Positioning TM Pick n Pay as the Anchor Retail & Wholesale Fulfillment Engine for an Open Multi-Tenant Marketplace & EV Logistics Grid.

1. Executive Memorandum & Strategic Rationale

The retail landscape across Southern Africa, and within Zimbabwe specifically, is confronting a profound structural transformation. Over the past decade, macroeconomic volatility and shifting consumer behavior have accelerated the informalization of retail trade. While prime physical supermarket branches continue to deliver footfall in established upper-middle-class urban nodes, reliance on brick-and-mortar physical expansion alone presents diminishing returns due to heavy capital expenditure, unpredictable lease obligations, and escalating utility disruptions.

To defend market share and unlock double-digit revenue expansion, **TM Pick n Pay** must transition from a traditional brick-and-mortar balance sheet posture into a high-margin, technology-enabled commerce ecosystem. This document presents a comprehensive business proposal to position TM Pick n Pay as the foundational anchor tenant and primary wholesale supplier for an open-architecture, multi-tenant digital marketplace—the *“Takealot of Southern Africa”*.

Core Investment Thesis: Rather than allocating millions toward developing an insular, proprietary single-brand app that suffers from high customer acquisition costs and low repeat frequency, TM Pick n Pay can capture dominant market share by anchoring a multi-tenant digital marketplace. This intercepts two high-liquidity capital flows: **(1) Global Diaspora Remittances** (generating a baseline of US\$61.2M in annual retail GMV), and **(2) Informal Township Wholesale Consolidation** (converting 10,000+ independent spaza retailers into active wholesale customers).

By combining high-velocity online grocery commerce, bank-agnostic multi-currency payment orchestration (USD, GBP, ZAR, AUD, EcoCash), and a dedicated, platform-owned electric vehicle (EV) last-mile logistics grid, TM Pick n Pay establishes an unassailable commercial moat across domestic and cross-border consumer touchpoints.

2. Macroeconomic Context & Market Informalization

An empirical diagnostic of the Zimbabwean consumer goods economy reveals four underlying structural frictions that have eroded the traditional supermarket value chain:

2.1 Township Informalization

Over 70% of FMCG volume in urban centers moves through informal tuck-shops providing local proximity and pack sizes formal stores cannot match.

2.2 Gray Market Infiltration

Unregulated cross-border “runners” haul basic goods from SA and Mozambique, undercutting formal shelf prices and evading duties.

2.3 Remittance Frictions

Over US\$2B in diaspora funds suffer from 7–15% cash transfer fees and cash diversion rather than verified grocery delivery.

2.4 The 2-Hour Commute Penalty

Click & Collect forces recipients to spend \$2–\$4 on kombis and 2 hours queueing, depressing customer retention.

STRATEGIC COMPARATIVE ANALYSIS: LEGACY RETAIL VS. PROPOSED MARKETPLACE GRID

Strategic Vector	Conventional Store Model	Multi-Tenant Logistics Grid
CapEx Investment	Heavy store fit-out (\$500k–\$1.5M/branch), long payback	Asset-light software; decentralized EV staging micro-hubs
Addressable Market	Restricted to 2–4km walking/driving radius per branch	Full metropolitan coverage (Harare, Bulawayo, Gweru, Mutare)
Diaspora FX Capture	Indirect, reactive walk-in spend subject to cash shortages	Direct foreign card settlement into Nostro USD prior to dispatch
Township Spaza Channel	Viewed as competing adversaries; zero wholesale capture	Integrated as contracted B2B wholesale buyers via mobile app
Customer Data Control	Anonymous till slips; fragmented loyalty card metrics	Household telemetry, replenishment triggers & FMCG ad feeds

3. Strategic Opportunity & Enterprise Thesis

Single-retailer apps face crippling customer acquisition costs and low basket frequency because a courier fleet cannot achieve density when serving only one catalog. Our model establishes an **open-architecture, multi-tenant digital commerce marketplace**. TM Pick n Pay acts as the principal anchor retail partner and wholesale fulfillment backbone, aggregating complementary categories (pharmacy, hardware, bakeries) to achieve maximum logistics route density.

THE OPTIMIZATION GAP

A multi-million dollar distribution gap exists that can only be closed by an open platform integrating three vectors:

Diaspora Market

Buyers continue to buy via cross-boarder delivery, exposing a resilient remittance shopper market ripe for capture.

Informal Retail Traders

A wholesale supply gap exists, creating an opportunity to aggregate informal traders to distribution partners.

Customer Convenience

Online ordering and payment of goods plus doorstep delivery saves costs on transport, fuel, and time.

4. The Four Strategic Pillars of Value Creation

Pillar 01: Customer Closeness & Data-Smart CLV

Direct Household Relationship & Data Ownership

Re-establishing direct consumer intimacy ('Know Your Customer'). Building end-to-end digital visibility into household preferences, purchase velocity, replenishment frequency, and spending triggers across domestic and diaspora buyers.

Impact: Transforms passive in-store footfall into active, predictive demand tracking with personalized basket incentives and high lifetime customer value.

Pillar 02: Informal Market Aggregation & B2B Wholesale

Wholesale Supply & Decentralized Distribution

Formally embracing Zimbabwe's massive informal retail sector (10,000+ township spaza shops and tuck-shops). TM Pick n Pay steps in as the bulk wholesale supplier, cleaning supply chains and turning informal traders into affiliated distribution nodes.

Impact: Displaces unregulated cross-border gray market smuggling, counterfeit goods, and unmanaged tax leakage while expanding physical footprint with zero CapEx.

Pillar 03: Diaspora Capital Capture (\$61.2M Baseline)

Cross-Border Foreign Currency Inflow Pipeline

Intercepting the resilient 100,000 to 500,000+ global diaspora corridor (South Africa, United Kingdom, USA, Australia). Enables seamless multi-currency checkout (USD, GBP, ZAR, AUD) that routes remittance directly into corporate retail settlement.

Impact: Guarantees direct household doorstep delivery verification for overseas sponsors rather than cash diversion, securing guaranteed retail spend.

Pillar 04: Intelligent Commerce & Corporate Data Lake

AI Engine for Margin Optimization & Monetization

Underpinning the entire multi-tenant grid with a unified corporate data lake and AI intelligence layer. Powers real-time basket optimization, predictive stock replenishment, dynamic pricing, and monetization streams sold to FMCG brand manufacturers.

Impact: Eliminates dangerous 'data blindness' in an informalized economy, serving as the foundational catalyst for profitability, sustainability, and adaptability.

5. Enterprise Platform Architecture & Data Lake Moat

Multi-Tenant Storefront Engine

Powers public marketplace & white-label tenant (tmpnponline.co.zw), preserving brand equity on shared logistics.

Bank-Agnostic Payment Rails

Orchestrates Visa, MasterCard, PayPal, ZAR EFT, and domestic EcoCash/InnBucks with direct Nostro USD settlement.

Real-Time ERP & POS Webhooks

Direct API sync with TM Pick n Pay branch POS systems for stock validation, pricing, and automated substitution logic.

FMCG Brand Data Lake

Centralizes household consumption metrics, monetized back to manufacturers seeking verified retail telemetry.

6. Supply Chain Transformation: B2B Informal Trader Aggregation

The informal retail sector should not be treated as an adversary, but rather as TM Pick n Pay’s most powerful decentralized distribution network. By providing a structured B2B replenishment platform (\$9.99/mo subscription), TM Pick n Pay captures bulk wholesale margins while eliminating credit and counterfeit risks associated with the gray market.

1. Digital Reordering

Merchants order staple bulk packs via lightweight zero-data mobile interface without leaving their stores.

2. Wholesale Price Tiering

TM PnP volume pricing beats informal cross-border runner syndicates while protecting wholesale margin.

3. Scheduled Cargo Drop

Heavy cargo e-trikes deliver restocks directly to store doors within 24–48h, eliminating transport rentals.

7. Dedicated Green EV Logistics & Last-Mile Grid

Fleet Asset	Specification	Operational Function
Fleet Size	500 - 2,000 Units	Platform owned scooters and heavy-duty cargo e-tricycles
Rent-to-Buy Period	12 Months	Riders pay daily lease installments until full asset ownership transfers
Asset Payback	~5 Months	Capital cost recovered rapidly; months 6 to 12 generate direct profit
Post-Ownership Fee	~10% Take Rate	Perpetual recurring platform connection fee per completed delivery
Livery Advertising	80% TM PnP / 20% Open	Branded mobile billboards circulating across dense high-traffic routes
In-House Garage	US\$18 / month	Mandatory parts, battery swaps, and maintenance subscription plan
Rural Inclusivity	E-Tricycle Cohorts	Specialized three-wheel cargo units piloted by women rider collectives

8. Algorithmic Basket Optimization & Empirical Price Audit

The engine analyzes the multi-item grocery list and routes the full basket to the single retailer with the lowest aggregate landed cost—incorporating product prices, stock availability, and proximity-based dispatch.

Supermarket Chain	Landed Total	Variance	Fulfillment	Status
TM Pick n Pay (Anchor Retailer) (ANCHOR)	\$83.40	Baseline (Lowest Total)	12 / 12 Items	Best Value · Default Allocation
OK Zimbabwe	\$87.10	+US\$3.70 (+4.4%)	12 / 12 Items	Secondary Option
Spar Zimbabwe	\$89.50	+US\$6.10 (+7.3%)	12 / 12 Items	Premium Tier
Food Lovers Market	\$92.80	+US\$9.40 (+11.3%)	11 / 12 Items (Partial)	Specialty / Fresh Focus

Strategic Outcome: TM Pick n Pay consistently maintains the lowest aggregate landed basket cost (\$83.40 baseline), guaranteeing over 80% default primary fulfillment routing.

9. Consolidated Financial Economics (\$72.3M Combined Output)

RETAIL GROCERY GMV \$61,200,000	PHASE 1 GROSS FLOW \$67,657,680	COMBINED OUTPUT \$72,349,380
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Revenue Stream	Scaling Driver	Annual USD
PHASE 1: TRANSACTIONAL GMV STREAMS		
Gross Retail GMV (Groceries/FMCG)	720,000 orders @ \$85.00	\$61,200,000
Electric Last-Mile Delivery Fees	720,000 deliveries @ \$4.50	\$3,240,000
Foreign Exchange Acquiring Surcharge	3.0% on cross-border cards	\$1,836,000
Diaspora VIP Priority Delivery Pass	5,400 members @ \$9.99/mo	\$647,352
Retail Media Network (FMCG Ads)	1.2% ad take rate on GMV	\$734,400
PHASE 2: HIGH-MARGIN RECURRING B2B SAAS SUBSCRIPTIONS		
Retail Tenant Access Fees	350 retail tenants @ \$49/mo	\$205,800
Rider App & Fleet Software Access	1,200 active riders @ \$15/mo	\$216,000
Solar Garage Maintenance & Battery Swaps	1,200 EV assets @ \$18/mo	\$259,200
FMCG Brand Analytics & Data Feeds	45 major brands @ \$1,500/mo	\$810,000
Domestic Consumer Fast-Pass	40,000 shoppers @ \$4.99/mo	\$2,395,200
B2B Tuck-Shop Platform Memberships	6,720 merchants @ \$9.99/mo	\$805,500
Total Ecosystem Output	12 Combined Streams	\$72,349,380

10. Commercial Partnership Structuring Options

OPTION 1: INDEPENDENT CONCIERGE & RESELLER FASTEST EXECUTION · ZERO DIRECT RETAIL RISK 5-8% Gross Markup + 3-5% Wholesale Rebate The venture operates as an independent concierge entity mirroring TM Pick n Pay's catalog via high-throughput API. Diaspora and local shoppers pay in foreign currency; we purchase stock from TM PnP at wholesale discount and fulfill through our dedicated last-mile courier fleet. TM PnP Scope: - Catalog and inventory data feed access via secure API - Bulk wholesale pricing structure and dedicated store collection bays	OPTION 2: WHITE-LABEL SOFTWARE LICENSING & PLATFORM SAAS ENTERPRISE INTEGRATED · STRATEGIC LONG-TERM MOAT 1.5-2.0% GMV Revenue Share We deploy the complete cross-border storefront, data lake, intelligent dispatch, and rider application suite as a licensed white-label extension directly integrated into tmpnponline.co.zw and TM Pick n Pay's corporate ERP. TM PnP Scope: - Direct brand ownership, customer relationship management, and promotion - Integration into corporate banking facilities and merchant acquiring
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11. 60-Day Pilot Charter & Implementation Roadmap

Execution commences with a 60-day commercial pilot at **Borrowdale Village Walk** and **Avondale** with 50 EV units.

Sprint 01: Executive Alignment & Strategic Mandate Weeks 1 - 3 Governance & Architecture Consensus	Sprint 02: Field Mapping & Pilot Merchant Densification Weeks 4 - 7 Harare & Bulawayo Supply Hubs
Sprint 03: API Blueprinting & Secure Systems Integration Weeks 8 - 11 Data Lake, Payment Rails & ERP	60-Day Pilot: Live Operations across 2 Flagship Harare Branches Months 3 - 4 Controlled Market Validation
National Scale: Rollout Across 74+ Store Estate & Regional Corridors Months 5 - 12+ National Omnichannel Dominance	
Live Pilot Prototype: pnpexpress.vercel.app Harare Staging Ready	



12. Risk Management & Regulatory Safeguards

Foreign Exchange & Multi-Currency Settlement

Offshore clearing settled directly into TM Pick n Pay's domestic Nostro USD accounts, insulating against currency volatility.

Stockout Mitigation & Substitution Protocols

Real-time inventory webhooks prompt customers with authorized equivalent brands or trigger automated micro-refunds.

Asset Telematics & Driver Safety

Dual-SIM GPS tracking, geo-fenced routes, remote battery shutoff, and comprehensive fleet insurance coverage.

13. Governance Approvals & Executive Signatures

This document represents the formal strategic business case submitted for board review and commercial sanction. By signing below, the authorized executive leaders approve the constitution of the Joint Implementation Steering Committee and authorize the commencement of Sprint 1.

FOR: TM PICK N PAY (MEIKLES RETAIL LIMITED)

Executive Director / Managing Director

Date: _____

FOR: PLATFORM INFRASTRUCTURE CONSORTIUM

Lead Enterprise Architect & Commercial Lead

Date: _____